UNION BUDGET 2025-26

HIGHER EDUCATION

Be Smart with Resources

Budget 2025 introduced initiatives aimed at expanding infrastructure and integrating AI into education, but it failed to take the steps necessary to truly reform India's higher education landscape. The overall allocation for higher education saw a modest five per cent increase, a figure that falls short of global benchmarks, especially given that India spends less than 1 per cent of its GDP on R&D.



There was massive underutilisation of funds under research schemes and little support for better pedagogy

INCONSISTENT APPROACH

The budget's biggest shortfall lies in its half-hearted approach to research and innovation, where ambitious announcements are undermined by funding cuts. While the Rs 500 crore outlay for the three Centres of Excellence in AI for Education signals intent, it is overshadowed by a staggering 74 per cent slash in funding for the 'World Class Institution' scheme—its allocation plummeting from Rs 1,800 crore to Rs 475 crore, raising doubts about the commitment to create globally competitive institutions.

Similarly, while Rs 20,000 crore has been earmarked for private sector-led R&D, the overall budget for research-related initiatives has declined. Key schemes like the Startup India Initiative in Higher Educational Institutions, IMPRINT Research Initiative, Scheme for Promotion of Academic and Research Collaboration, and STARS (Scheme for Transformational and Advanced Research in Sciences)—have witnessed an aggregate cut of 8 per cent, dropping from Rs 355 crore to Rs 327 crore. More concerning is the massive underutilisation of funds, with last year's spending in these areas at Rs 74.5 crore. The budget must now focus on better pedagogy. There was little budgetary support—the Malaviya Mission Teacher Training Programme got Rs 70 crore, a reduction from Rs 100 crore. Funds under the Pradhan Mantri Uchchatar Shiksha Abhiyan (PM-USHA) also remain unchanged at Rs 1,815 crore. The budget fell short in funding world-class institutions, strengthening research and improving faculty recruitment. The next budget must correct these failings, ensuring that India's higher education system is not just incrementally improved, but fundamentally transformed. ■

Yet, long-pending labour reforms remain stalled. The four new labour codes—covering wages; industrial relations; social security; and occupational safety, health and working conditions—were enacted in 2019-20 but have yet to be implemented. Their rollout depends on both the Union and state governments notifying the respective rules, as labour falls under the concurrent list of the Indian Constitution. Once implemented, these codes will replace 29 outdated central laws, fundamentally improving workers' living standards.

The govt must build consensus for a smooth rollout of the new labour codes that promise a boost to industry and jobs

THE GOOD CODE

Beyond simplifying archaic regulations, the codes promise a significant boost to industry and employment, eliminating redundant definitions and authorities. They also modernise workplace safety norms and introduce swifter dispute resolution mechanisms.

Under the codes, even gig and platform workers have been defined to provide them social security benefits. However, not all trade unions are on board. So now the Union labour ministry, after consulting 36 states and Union territories, is forming inter-state panels to implement key clauses. For a smooth rollout, though, the Modi government must address concerns and build consensus among all stakeholders. ■